

Trade Life Cycle & Reference Data

Follow a trade from client and instrument setup through execution, confirmation, matching, settlement and post-trade control.

1. What is a Trade Life Cycle?

ANSWER

The Trade Life Cycle is the end-to-end sequence from pre-trade setup and execution through capture, validation, confirmation, clearing, settlement, reconciliation and post-settlement controls.

EXAMPLE

An equity trade is executed, booked, matched, settled against cash, then reconciled to custodian records.

2. What happens during pre-trade?

ANSWER

Pre-trade activities may include client eligibility, account setup, KYC, reference data, limits, product permissions and settlement instructions.

EXAMPLE

A new institutional client cannot trade until account and SSI data are approved.

3. What is trade capture?

ANSWER

Trade capture records the executed trade economics in the firm's systems, including instrument, quantity, price, counterparty, dates and settlement details.

EXAMPLE

A trader executes 5,000 shares at 25; operations systems capture the trade for downstream processing.

4. What is trade enrichment?

ANSWER

Trade enrichment adds standing or reference information needed for downstream processing, such as settlement location, custodian account or SSI.

EXAMPLE

A system adds the client's approved custodian account to a booked equity trade.

5. What is trade validation?

ANSWER

Validation checks that trade data is complete, internally consistent and permitted by rules before further processing.

EXAMPLE

A trade may fail validation if settlement currency is missing.

6. What is confirmation?

ANSWER

Confirmation is communication of trade details to the counterparty so both parties can verify the agreed economics.

EXAMPLE

Both parties confirm quantity, price, trade date and settlement date of an OTC trade.

● Reference Data



● Execute / Capture



● Confirm / Match



● Settle / Reconcile

7. What is affirmation?

ANSWER

Affirmation is the client or investment manager's positive agreement that trade details are correct, often after confirmation.

EXAMPLE

An investment manager affirms a broker confirmation in an electronic matching platform.

8. What is trade matching?

ANSWER

Matching compares the two sides of a trade to confirm key economic and settlement fields agree before settlement.

EXAMPLE

If one side shows 10,000 shares and the other 1,000, the trade is unmatched and requires investigation.

9. What is a trade break?

ANSWER

A trade break is a mismatch or exception between expected and counterparty/internal trade data.

EXAMPLE

Different settlement dates on the two sides create a matching break.

10. How would you investigate an unmatched trade?

ANSWER

Compare source execution details, booking records, counterparty confirmation and reference data; identify the mismatched field; validate evidence; correct the appropriate record and re-match.

EXAMPLE

If quantity differs, check the original execution ticket before changing any system record.

11. What is clearing?

ANSWER

Clearing determines obligations between trading parties and may involve netting and a central counterparty before settlement.

EXAMPLE

A CCP becomes buyer to every seller and seller to every buyer for eligible exchange trades.

12. What is settlement?

ANSWER

Settlement is the final exchange of securities and cash or other contractual consideration, satisfying the parties' obligations.

EXAMPLE

Buyer receives shares while seller receives cash through DVP.

13. What is post-trade reconciliation?

ANSWER

It compares internal trades, cash and positions against external records to detect missing, duplicated or incorrect processing.

EXAMPLE

The internal securities position is compared with the custodian statement after settlement.

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14. What is the difference between front, middle and back office?

ANSWER

Front office originates and executes business; middle office commonly handles risk, control and trade-support functions; back office focuses on confirmations, settlements, reconciliations and recordkeeping. Structures vary by institution.

EXAMPLE

A trader executes a swap, middle office monitors risk, and operations confirms and settles cash flows.

15. Explain an equity trade end to end.

ANSWER

Order is executed; trade is captured and enriched; details are matched/confirmed; obligations are cleared if applicable; settlement instructions are sent; securities and cash exchange; positions and cash are reconciled; exceptions are resolved.

EXAMPLE

A buy of 1,000 shares settles DVP on T+1 and is then reflected in the custodian position.

16. Explain an OTC derivative trade end to end.

ANSWER

Client/counterparty setup and documentation are completed; the trade is executed and booked; economics are confirmed; valuation and collateral processes operate through the life; cash flows are settled; lifecycle events are processed; the contract matures or terminates and final balances are reconciled.

EXAMPLE

An IRS generates periodic payment calculations and collateral calls until maturity.

17. What controls reduce booking errors?

ANSWER

Maker-checker review, required-field validation, reference-data controls, electronic matching, tolerance rules, reconciliations and exception ageing all help reduce booking risk.

EXAMPLE

A second reviewer approves manual changes to settlement instructions before release.

18. What is settlement instruction or SSI?

ANSWER

A Standing Settlement Instruction is approved reference data specifying where and how cash or securities should settle for a client or counterparty.

EXAMPLE

The SSI contains custodian, account and market details for settlement.

19. Why should SSI changes be tightly controlled?

ANSWER

Incorrect or fraudulent changes can cause failed settlement, misdirected assets or financial loss, so independent verification and approvals are essential.

EXAMPLE

A callback or independent authentication is used before activating a new bank account.

20. What is reference data management?

ANSWER

Reference data management maintains relatively stable data used by transactions, such as client identifiers, instrument attributes, settlement instructions, calendars and market codes.

EXAMPLE

A wrong account identifier can cause otherwise correct trades to fail at settlement.



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